Cover Sheet	
Licensor: **Syndicated Patent Acquisitions Corp.** **("SynPat")** 706 Cowper St. Suite 200 Palo Alto, CA 94301 Attention: CEO Contact Numbers: 1-415-902-5901 Bank: _____ Account No._____ ABA/Routing Number:_____	Licensee: _____ _____ _____ _____ Attention:_____ Contact Numbers: _____ Bank: _____ Account No._____ ABA/Routing Number:_____

Patent Seller:		_____
Licensor's deadline to exercise its option to acquire the Patents:		_____
Patents Purchase Price ("PP"):		$_____
Participants' Aggregate Annual Revenues ("AAR"):		$_____
Licensee's Annual Revenue ("AR"):		$_____
☐ License Fee (if a Participant in the acquisition)	(AR*PP/AAR):	$_____
☐ License Fee (within first 4 months from acquisition)	(1.5*AR*PP/AAR):	$_____
☐ License Fee (after first 4 months from acquisition)	(3*AR*PP/AAR):	$_____
☐ License Fee (during enforcement, until Markman ruling)	(9*AR*PP/AAR):	$_____

Participants share a one-third (1/3) of all Licensor's Revenues (LR) generated from post-syndication monetization of the Patents.

Participant's license net cost shall be: $License\ Fee - \left[\frac{LR}{3} * \frac{AR}{AAR}\right]$

This agreement consist of this Cover Sheet and the attached General Terms and Conditions (the "Agreement"). A party's signature bellow acknowledges that the respective party has read and understood the Agreement and agrees to be bound by its terms and conditions.

Syndicated Patent Acquisitions Corp.	**Licensee**
By:_____	By:_____
Name:_____	Name:_____
Title:_____	Title:_____
Date:_____	Date:_____

SynPat Program - Overview

SynPat's program is designed to make licenses to high-quality high-impact patents available to all operating companies on fair, reasonable and non-discriminatory terms.

Licensing Proposal: SynPat has contracted to acquire the following patent portfolio and now offers licenses under the patents to companies that are either interested in or need such a license. Licenses are available at three price levels: 1x premium (no premium), 1.5x premium, and 3x premium, depending on the time of acquisition: the earlier a license is bought, the cheaper it costs.

Syndicated Acquisition: To minimize the license fee for early adopters, SynPat is currently organizing an *ad-hoc* syndicate of operating companies who would collectively share the seller's asking price, *net of any mark-up, commission or other transaction fees*. The seller's asking price will be objectively divided among companies interested to participate in this ad-hoc syndicate, based on their publicly reported revenue, *regardless of actual infringement*.

Post-Syndication Licensing: Immediately after SynPat acquires the patents, it will continue to offer licenses to companies that were invited to participate in this ad-hoc acquisition, but did not. During the first four months, licenses will be available at a modest 1.5x premium above the price paid by the syndicate participants. Thereafter, the premium rises to 3x.

Participants' Return: Companies participating in the acquisition not only obtain a license under this *high-quality high-impact* patent portfolio at a *minimum price*, but also receive a *one-third (1/3) share of SynPat's revenues* from subsequent licensing of the acquired patents.

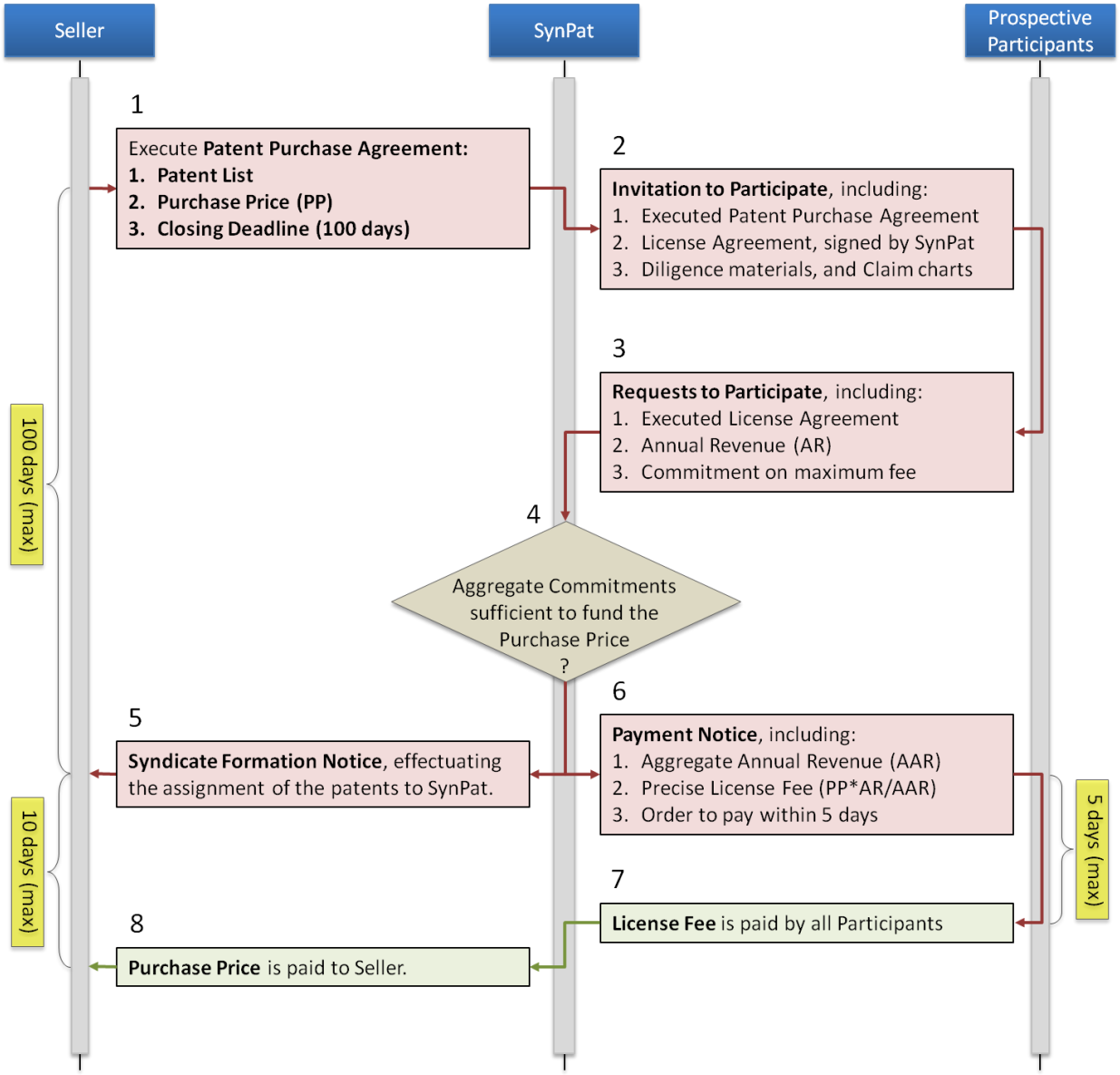
Good Faith Disputes: Unlike other licensors, SynPat allows prospective licensees to submit, in confidence, arguments regarding invalidity or non-infringement to FedArb (42 former Federal judges and 25 designated IP specialists). FedArb's decision is only binding on SynPat. SynPat will back off if FedArb finds that arguments have merit.

Free riders and willful infringers: Committed free riders and willful infringers (i.e., unlicensed companies that are presented with *clear* and *unchallenged* evidence of use) harm innovation and abuse our social values. Thus, the patents will be vigorously enforced upon them. However, SynPat is committed to use enforcement and initiate legal actions only as a last resort. Moreover, during enforcement and until Markman ruling, licenses will still be available, at a 9x premium. Upon identifying committed free riders and willful infringers, SynPat will assign the patents to an enforcement firm on 50% contingency. Any reward to SynPat resulting from enforcement of the acquired patents will also be shared with participants in the ad-hoc syndicate.

Full Transparency: Since participation in each *ad-hoc* syndicate is *open and available to all*, and since licenses are available at any stage of the program, it is up to each prospective licensee to elect when to counter-execute SynPat's standard license agreement and thereby acquire a license under the patents.

Syndication Process

Upon signing a Patent Purchase Agreement with a patent seller (illustrated as phase 1 below), SynPat extends executed offers to license the patents (2). Companies that wish to participate in the syndicate must send SynPat a **Request to Participate**, stating the maximum license fee they commit to pay (3). Upon receipt of Requests to Participate with aggregate commitments sufficient to pay the seller's asking price (4), SynPat notifies Seller of the syndicate formation, which effectuates the assignment of the patents to SynPat (5), and sends to all requesters a **Payment Notice** stating the exact License Fee specifically calculated for each Participant (= the Purchase Price times the ratio between a participant's average annual revenue and the aggregate average annual revenues of all other participants (6). Participants then execute the License Agreement, and pay their License Fee within five days (7). SynPat transfers the entire amount collected from all the Participants to Patent Seller (8).



Syndication Legal Structure

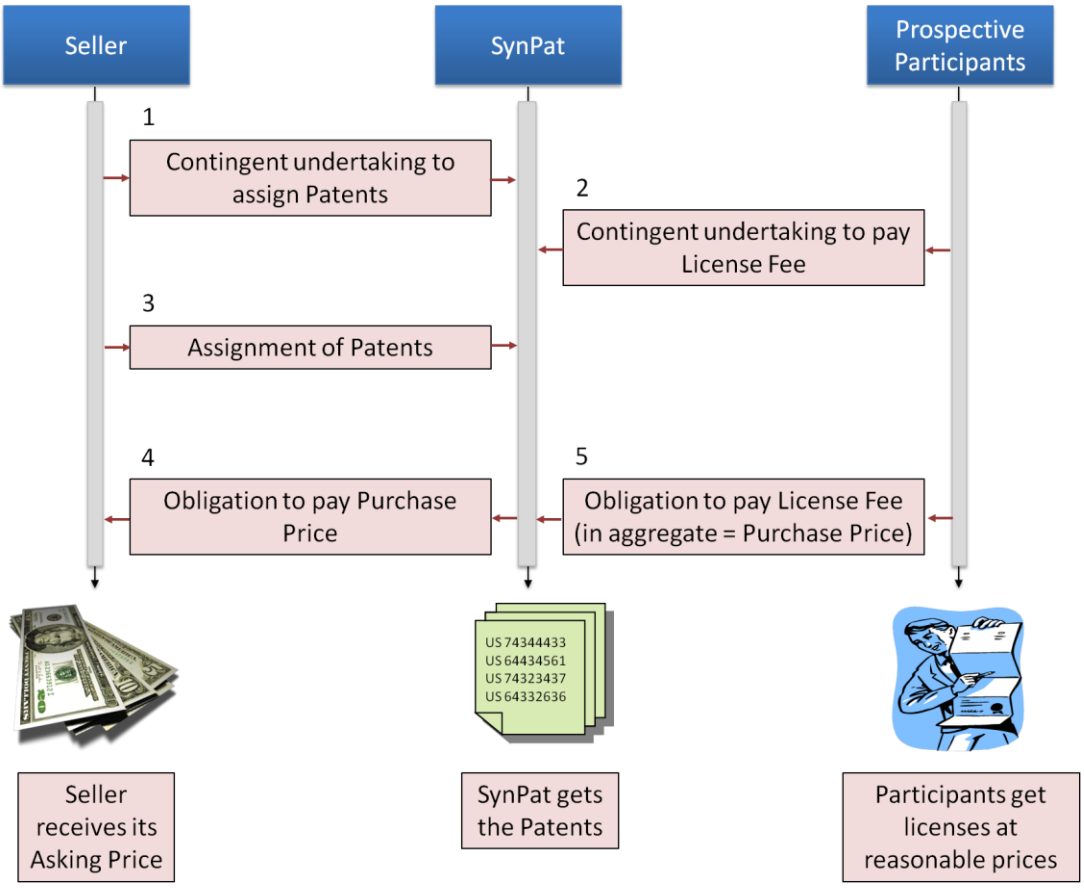
The syndication process, ending with Patent Seller receiving its asking price, Participants receiving non-exclusive licenses under the patents, and SynPat owning the patents, secures the interests of all parties via the following set of legal actions:

The **Patent Purchase Agreement** between Patent Seller and SynPat assigns the patents to SynPat upon receipt of binding commitments from prospective Participants sufficient to fund the Purchase Price.

The **Patent License Agreement**, executed by SynPat as licensor, and sent to prospective Participants while the patents are still owned by the Seller, becomes effective upon the assignment of the patents to SynPat.

Seller's undertaking (step 1 in the chart below) provides prospective Participants with the confidence to execute a **Request to Participate** in which they commit to pay their share in the Purchase Price upon the assignment of the patents to SynPat (step 2).

The Closing occurs when SynPat (upon receiving aggregate commitments from prospective Participants sufficient to fund the Purchase Price) transmits to Seller a notice that the syndicate has been formed. Sending the notice to Seller triggers the following legal results simultaneously: the Patents are assigned to SynPat (step 3), SynPat is obligated to pay the Purchase Price to Seller (step 4), and Participants are obligated to pay their license fees to SynPat (step 5).



General Terms and Conditions

1 DEFINITIONS

"Aggregate Annual Revenues" (or **"AAR"**) means the sum of all Participants' AR.

"Affiliate" means any corporation or other business entity controlled by, controlling or under common control with such entity. For this purpose, "control" shall mean direct or indirect beneficial ownership of at least a fifty percent (50%) of the voting stock of, or at least a fifty percent (50%) interest in the income of such corporation or other business entity, or such other relationship as in fact, constitutes actual control.

"Annual Revenue" or **"AR"** means the average of Licensee's annual revenues for the three (3) most recently reported fiscal years as appear from filing with the Securities and Exchange Commission, or with the analogous foreign regulatory authority or from other reports complying with GAAP.

"Designated Third Party's License Cost" shall be equal to the Designated Third Party's AR * 1.5 * PP / AAR.

"Exercise Date" means the day Licensor exercises its option to acquire the Licensed Patent.

"License Fee" shall be equal to

AR * PP / AAR, if Licensee participates in the syndicate organized by Licensor to acquire the Patents; or

1.5 * AR * PP / AAR, if Licensee acquires its license during the first four (4) months following the acquisition; or

3 * AR * PP / AAR, if Licensee acquires its license after the first four (4) months following the acquisition; or

9 * AR * PP / AAR, if Licensee acquires its license during enforcement proceedings but before Markman ruling.

"Licensed Patent" means the patent and patent applications set forth in Schedule A, any foreign patent application corresponding thereto, and any divisional, continuation, continuation-in-part, or reexamination application, and each patent that issues or reissues from any of these patent applications in each case to the extent Licensor or its Affiliates has a right to grant a license thereunder in accordance with the terms and conditions of this agreement.

"Licensed Product" means any product, service, proprietary (non-standardized) specification, a part of a product, or a method the making, using, importing, selling or offering for sale, licensing, leasing, offering for license or lease, distributing, disposing of and any other form or type of conveyance of which, absent the Patent License, infringes, induces infringement, or contributes to infringement of a Licensed Patent.

"Licensor's Revenue" or **"LR"** shall mean any amount received by Licensor either as a License Fee on the Licensed Patent from Non-Participants or as consideration paid in

return for rights in the Licensed Patents.

"Non-Participant" means a licensee under the Licensed Patent, who is not a Participant.

"Participant" means a licensee under the Licensed Patent, whose participation in the acquisition syndicate that was organized to acquire the Licensed Patent was confirmed in writing by Licensor.

"Patent License" means the license set forth in Section 2.

"Participant's Return" shall be equal to [LR * AR / 3 * AAR]

2 LICENSE AND RELEASE

2.1 Release and Covenant not to Sue. Subject to the terms and conditions of this Agreement, Licensor, on behalf of itself and any of its Affiliates, hereby releases Licensee, Licensee's Affiliates and any third party acting on behalf of Licensee or Licensee's Affiliates (collectively "Released Parties") from any claim of infringement of the Licensed Patents, and covenants not to sue, threaten to sue, or take any affirmative action aiding others to sue or threaten to sue any of the Released Parties for infringement, inducement of infringement, or contribution to infringement of the Licensed Patents.

2.2 Grant. Subject to the terms and conditions of this Agreement, Licensor, on behalf of itself and any of its Affiliates, grants Licensee a worldwide, fully paid-up and irrevocable non-exclusive license under the Licensed Patents, in any field of use, to make, have made, use, import, offer to sell, sell, and distribute Licensed Products, for a perpetual term (the "Patent License").

2.3 Exclusions.

2.3.1 The Patent License is non-transferable, except as permitted in Section 8.

2.3.2 The Patent License is non-sub-licensable, except for sub-licenses granted by Licensee to:

2.3.2.1 Licensee's Affiliates,

2.3.2.2 distributors and resellers of Licensee or Licensee's Affiliates' Licensed Products, and to

2.3.2.3 acquirers of Licensee or its Affiliates' business sections with regard to products or services substantially similar to those of Licensee or its Affiliates immediately prior to the sale of the business section. Such sub-license will not apply to the acquirer's products and services against which the Licensed Patents were asserted prior to the sub-license. Licensee shall notify Licensor of the name of the sub-licensee, the term of the sub-license and the sub-licensed products.

2.3.3 Licensor does not grant to Licensee or its Affiliates any other licenses, implied or otherwise, to any patents or other rights of Licensor other than those rights granted under the Licensed Patent. Moreover, Licensor does not commit to Licensee to bring suit against third parties for infringement.

Any assertion of the Licensed Patens by Licensor, including against Excluded Entities, shall be at Licensor's sole discretion.

2.4 Licensor grants to all third parties a perpetual, irrevocable, non-exclusive, non-transferable, non-sub-licensable, fully paid-up, worldwide license under the Licensed Patents to use, sale, offer for sale, import, and distribute any changes or modifications of software, which is a Licensed Product, that they received from Licensee or its Affiliates.

3 FEES AND PAYMENTS

3.1 In full consideration of the license granted to Licensee hereunder, Licensee shall pay Licensor the License Fee. The payment shall be made in U.S. Dollars by wire transfer to the bank account listed on the cover sheet of this Agreement.

3.2 If a Participant, Licensee shall pay the License Fee within three (3) days from Licensor's written notice to Licensee that organizing the syndicate has been completed ("**Notice of Syndicate Formation**") and that the Licensed Patents have been assigned to SynPat and thus the License is in full force.

3.3 If a Non-Participant, Licensee shall make the payment within three (3) days from its execution of this Agreement.

3.4 If the foregoing payment is not made, this Agreement shall terminate immediately and no license or other rights to the Licensed Patents shall have been granted under this Agreement.

3.5 In the event Licensee acquires the right to license a Designated Third Party under Section 5, Licensee shall pay the Designated Third Party's License Cost together with its own License Fee.

4 PARTICIPANT'S RETURN.

4.1 **Participant's Return**. If a Participant, Licensee shall be entitled to and be paid the Participant's Return within thirty (30) days from each actual receipt of Licensor's Revenue, provided that:

4.1.1 Licensee is a Participant, and

4.1.2 Licensee is in full compliance with this Agreement.

4.2 The payment shall be made in U.S. Dollars by wire transfer to the bank account listed on the cover sheet of this Agreement.

5 PARTICIPANTS' RIGHT TO THIRD PARTIES' LICENSES.

5.1 Immediately upon receiving from Licensee a duly executed request to acquire the right to license a third party designated by Licensee ("Designated Third Party"), Licensor shall refrain from selling licenses to the Designated Third Party(ies), provided that:

5.1.1 Licensee is a Participant, and

5.1.2 Licensee's request is received by Licensor prior to receiving an executed request to participate or to be licensed from the Designated Third Party.

6 REPRESENTATIONS, WARRANTIES AND DISCLAIMERS

6.1 Licensor represents that prior to its acquisition of the Licensed Patents, Licensor, in its discretion, performed reasonable due diligence on the acquired patent rights.

In addition, Licensor represents that it has the rights to grant the licenses in Section 2.1 under the Licensed Patents.

6.2 Licensor shall make available to Licensee information regarding encumbrances on title of the Licensed Patent, as well as other information which may impact or limit any license granted to Licensee under this Agreement, provided that such information is already in Licensor's possession and is not subject to confidentiality obligations or otherwise privileged.

6.3 Licensor further represents and warrants that the Purchase Price, as stated on the Cover Sheet, is the true and correct amount at which Licensor buys the Licensed Patents.

6.4 LICENSOR PROVIDES LICENSEE THE RIGHTS GRANTED IN THIS AGREEMENT AS IS AND WITH ALL FAULTS. LICENSOR MAKES NO REPRESENTATIONS AND EXTENDS NO WARRANTIES OF ANY KIND, EITHER EXPRESS OR IMPLIED. EXCEPT AS EXPRESSLY PROVIDED IN SECTION 6.1, LICENSOR DISCLAIMS ANY EXPRESS OR IMPLIED WARRANTY TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, INCLUDING, BUT NOT LIMITED TO, THE IMPLIED WARRANTIES OF MERCHANTABILITY, OF FITNESS FOR A PARTICULAR PURPOSE, OF NON-INFRINGEMENT, OR ANY WARRANTIES THAT MAY ARISE OUT OF ANY COURSE OF PERFORMANCE OR DEALING.

6.5 Notwithstanding the failure of essential purpose of any limitation of liability or limited remedy, neither Licensor nor Licensee shall have any liability for any incidental, indirect, consequential, punitive or special damages, including but not limited to damages for lost revenues, profits, business or data, arising out of or relating to this Agreement, except for any willful unauthorized disclosure of confidential information.

6.6 Licensee also acknowledges that Licensor does not represent or warrant the validity, enforceability, infringement of any of the Licensed Patents, their scope, or that the exploitation of the Licensed Patents will be successful. Further, Licensee acknowledges that Licensor's revenue from the Licensed Patents is generated solely from post-syndicate monetization. Yet, Licensor does not warrant to file any patent application, to secure any patent or to maintain any patent in force, to bring or prosecute any actions or suits against third parties for infringement of any Licensed Patents or to defend any suit or action brought by a third party which challenges or concerns the Licensed Patents.

6.7 Licensee represents to Licensor that its Average Annual Revenues as stated in Licensee's Request to Participate in a Syndicated Patent Acquisition is based on audited financial information that is true and correct.

7 CONFIDENTIALITY.

The parties shall not disclose, in whole or in part, the terms of this Agreement, except to the extent required by applicable law, regulation or court order. Licensee may disclose a copy of this agreement to the extent reasonably necessary to defend itself in any litigation associated with the Licensed Patents. Licensor may disclose a copy of this Agreement as long as Licensee's identity is kept confidential.

8 ASSIGNMENT.

8.1 Licensee may assign this Agreement as part of a sale or any transfer of Licensee's entire business or that part of Licensee's business that exercises all rights granted under this Agreement, as long as the assignee is not a declaratory judgment plaintiff or an infringement defendant under any of the Licensed Patents, or a party infringing any claim from any of the Licensed Patents, or a party with which Licensor has initiated licensing communications or its affiliate.

8.2 Licensee must give Licensor a notice of the assignment within 30 days from the date of assignment. Licensee's notice must include assignee's contact information and its written explicit consent to be bound by this Agreement.

8.3 Any other attempt to assign this Agreement or any part thereof by Licensee is null and void.

9 MISCELLANEOUS.

9.1 **Fair Construction.** This Agreement shall be construed fairly, according to its terms, without constructive presumptions against the drafting Party and without using the paragraph headings.

9.2 **Governing Law, Venue and Jurisdiction.** This Agreement will be governed in accordance with U.S. federal law and/or the laws of the State of California, if applicable, without reference to its choice of law principles to the contrary. The state and federal courts having jurisdiction over San Francisco, California, United States of America, provide the exclusive forum for any court action between the parties relating to this Agreement. The prevailing party in any legal action concerning this Agreement shall be entitled to recover its legal expenses.

9.3 **Notices.** Any notice under this Agreement must be in writing, and delivered either personally or via Fed-Ex or UPS**.**

9.4 **Waiver.** No term of, or right under, this Agreement shall be construed as waived unless was done by the written consent of the party waiving compliance.

9.5 **Independent Contractors.** The Parties are not partners, joint venturers, or agents of one another, and neither Party assumes the liability of the other, or empowered to bind the other.

9.6 **Severability.** If any term of this Agreement is unenforceable, it shall be interpreted as to fulfill its original objective. The validity of any other term shall not be affected.

9.7 **Counterparts.** This Agreement may be executed in counterparts, all of which taken together shall constitute a single instrument binding upon the parties.

9.8 **Entire Agreement.** This Agreement includes both the Cover Sheet and the General Terms and Conditions parts. It supersedes all written and oral agreements and understandings of any kind between the parties regarding the subject matter of this Agreement.

Schedule A1:

Licensed Patents

Schedule A2:

Copy of Confirmatory Patent Assignment

Schedule A3:

Request to Participate

Schedule A4:

Request to Exclude

SynPat's Purchase Price (PP):		$_____
Excluded Entity's Average Annual Revenue (AR):		$_____
Participants' Aggregate Annual Revenues (AAR):		$_____
License Fee for the Excluded Entity (Non-Participants) (1.5 * PP * AR / AAR):		$_____